

CHAPTER 7

OCTOBER REDUX

Let it be emphasized once more, and especially to anyone inclined to a personally rewarding skepticism in these matters: for practical purposes, the financial memory should be assumed to last, at a maximum, no more than 20 years. This is normally the time it takes for the recollection of one disaster to be erased and for some variant on previous dementia to come forward to capture the financial mind. It is also the time generally required for a new generation to enter the scene, impressed, as had been its predecessors, with its own innovative genius. Thus impressed, it becomes bemused by the two further influences operating in this world that are greatly seductive of error. The first, as sufficiently noted, is the ease with which any individual, on becoming affluent, attributes his good fortune to his own superior acumen. And there is the companion tendency of the many who live in more modest circumstances to presume an exceptional mental aptitude in those who, however evanescently, are identified with wealth. Only in the financial world is there such an efficient design for concealing what, with the passage of time, will be revealed as self- and general delusion.

There are, however, exceptions to any rule. While the 20-year cycle from illusion to disillusion and back to illusion had a superb regularity in the United States in the last century, some of the more violent episodes of irrationality—those of John Law, the South Sea Bubble, and the crash of 1929 being examples—did remain more vividly in the financial as well as the general public memory. The result was a somewhat longer period of doubt, caution, and comparative sanity.

The crash of 1929 ushered in the dismal years of the Great Depression, for which, indeed, the stock-market debacle should rightly be held sharply